

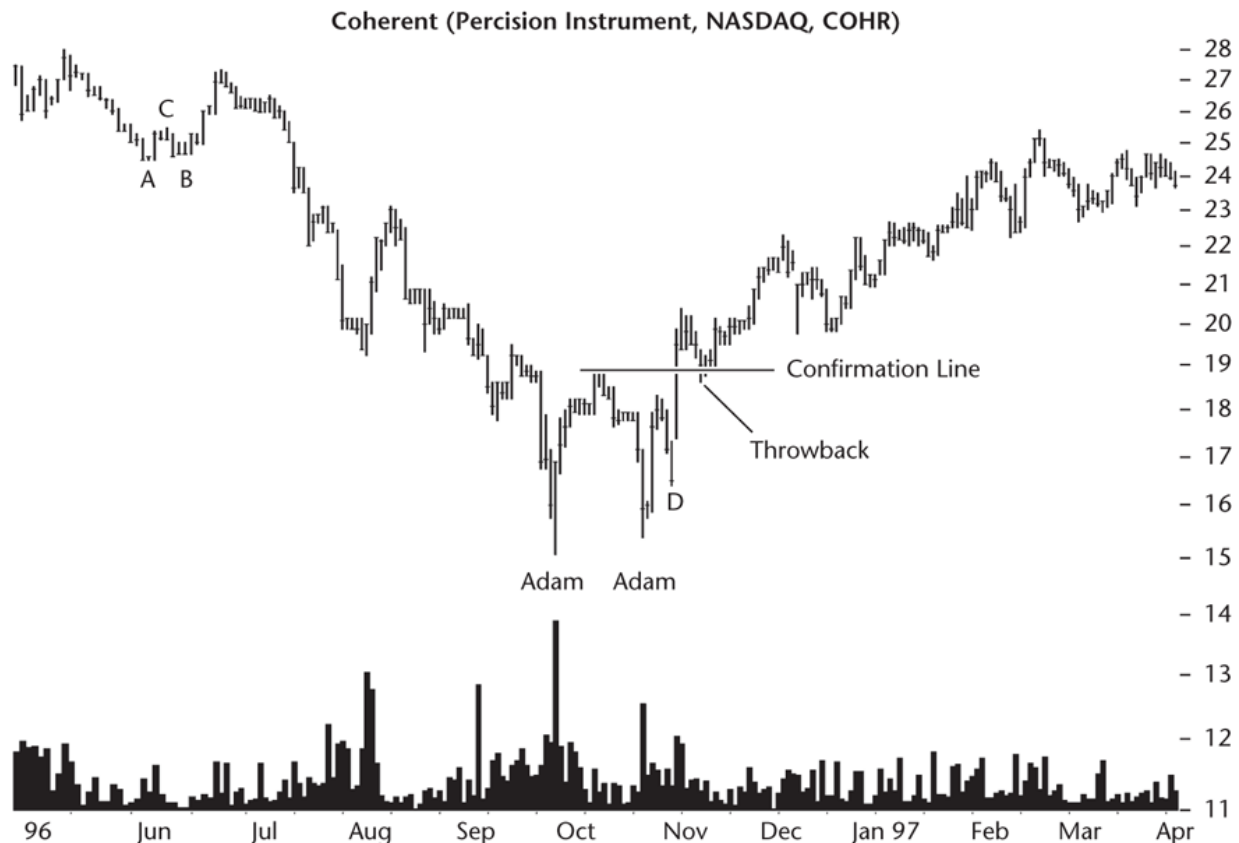


Figure 26.2 An Adam & Adam double bottom with a throwback. Pattern AB (upper left) is a small double bottom, but not Adam & Adam.

The median variation between bottoms was just 1%.

Bottom separation. How far apart should the bottoms be? Some texts say that bottoms must be at least a month apart, but I set no such limit. The median in my database was 16 days wide (from bottom to bottom).

Volume. The left bottom usually shows higher volume than the right one. However, volume higher on the right side should not exclude the pattern from consideration. [Figures 26.1](#) and [26.2](#) show volume higher on the left bottom than on the right one.

Breakout direction, confirmation. The breakout from a double bottom is always upward. If price does not close above the highest peak between the two bottoms, then you don't have a double bottom.

A twin bottom pattern is not a valid double bottom until price closes above the high between the two bottoms. Always wait for confirmation before taking a position in a stock because price continues down 48% of the time.